

5.3

The interaction of labour markets

Explain:

- Wage differentials
- Monopsony
- Trade union
- Bilateral monopoly

Explain, with the aid of a diagram:

- The determination of wages in a highly competitive labour market
- Changes in demand for, and supply of, labour

Evaluate:

- The impact of changes in labour market flexibility and mobility of labour
- The impact of trade union activity on labour markets
- The impact of a monopsonist employer on a labour market
- The impact of a bilateral monopoly on a labour market